

Astral Ltd (ASTRA IN · NSE: ASTRAL) — FY27–FY29

Earnings Model and Valuation

Earnings model · 14 September 2026 · an analytical framework, not investment advice

Model code: [model.py](#) (re-runnable; every assumption lives in `SCENARIOS`) · Companion: [key-questions.md](#)

0. The three conclusions that matter

- Built bottom-up from volume × realisation × margin, the Base case lands at FY28E net profit of ₹792cr — 5% to 17% below the sell-side's ₹836–950cr.** Not dramatically below: this is not a model that says the street is wrong. It says the street is at the optimistic end of a reasonable range, which is a different and more useful statement.
 - At today's ₹40,107cr, the Base case requires a 50.6x exit multiple in FY28. The Bull case — full captive-CPVC delivery, double-digit volume, Astral Chemie hitting its own FY28 targets — requires 39.4x.** So the spot price is, roughly, the bull case capitalised at a normal-for-the-sector multiple, or the base case capitalised at more than the stock currently trades on.
 - The dominant risk in this security is the multiple, not the earnings.** Holding FY28E PAT at ₹787cr and moving the exit multiple from 30x to 50x moves fair value by +67% (₹879 → ₹1,466). Holding the multiple at 40x and moving FY28E PAT from ₹700cr to ₹900cr moves it by +29%. The historical record says the same thing: the 39% fall from the July 2024 peak was **entirely** de-rating (121x → 75x) on flat earnings.
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1. Model structure and calibration

Plumbing is modelled as **volume (MT) × realisation (₹/kg)** rather than as a revenue growth rate, because that is the only way to separate the two things Indian pipe results confuse: tonnes sold, and what PVC resin happened to cost. Chemicals (paints + adhesives) is modelled as a growth rate, because no volume series is public. The group is modelled **pre-demerger** so the years stay comparable; the demerger changes who owns which profit pool, not how much there is.

Calibration item	Value	Source
FY26 revenue	₹6,568.6cr	Reported
FY26 Paints & Adhesives	₹1,890cr	Reported
FY26 Plumbing	₹4,678.6cr	Derived (total – chemicals)
FY26 plumbing volume	~270,000 MT	Derived from Q4 FY26's 84,041 MT and FY26's +16%
Implied realisation	₹173.3/kg	Derived; Q1 FY27 actual ₹187.1/kg, Q4 FY26 ₹182.5/kg
FY26 EBITDA	₹1,062cr (16.2%)	Reported (a ₹1,109cr / 16.9% print also circulates)
Segment margins	Plumbing 19.5%, chemicals 7.9%	Derived, calibrated to reproduce group EBITDA
FY26 depreciation	₹351cr	Derived plug from reported PAT and a 26% tax rate
Tax rate	26%	Implied by Q1 FY27 (PBT ₹162.8cr → PAT ₹120.2cr)
Shares	26.85cr	Derived (market cap ÷ price)

One modelling choice does real work and should be stated plainly. Depreciation is grown by **10% of the prior year's capex**, not held flat. The memo's central finding is that group EBITDA margin has held near 16% while **net** margin fell from 12.9% (FY21) to 8.1% (FY26) — and the gap is depreciation on ₹1,400cr of four-year capex plus new-venture losses. A model that freezes D&A reproduces the bull case by construction. With FY27 capex guided at ₹300–350cr but ₹137cr already spent in Q1, the model assumes **₹450–650cr a year**.

2. The three scenarios

Assumption (FY27/28/29)	Bear	Base	Bull
Plumbing volume growth	4% / 6% / 6%	10% / 12% / 12%	14% / 15% / 15%
Realisation growth	–3% / 0% / +1%	+2% / +1% / +1%	+4% / +2% / +2%
Plumbing EBITDA margin	18.0% → 17.0%	19.5% → 20.5%	20.5% → 22.0%
Chemicals growth	12% p.a.	18% / 20% / 20%	25% p.a.
Chemicals EBITDA margin	8% → 10%	9% → 12.5%	11% → 15%
Capex (₹cr)	450/500/500	500/550/600	550/600/650
Exit P/E	30x	38x	48x

What each scenario is actually asserting:

- **Bear.** Q1 FY27's flat volume (56,146 MT) was the true run rate, not an aberration; the 18.9% plumbing margin was resin timing and reverts toward the **16–18% the company itself guides for FY27**; paints never scales; and a

pure-play pipes company re-rates to 30x.

- **Base.** Guidance is roughly met from FY28; the captive CPVC plant delivers **half** of the claimed +200bps; chemicals reaches low-double-digit margins by FY29; the multiple settles between Finolex (~30x) and Supreme Industries (~45x).
- **Bull.** July 2026's +40% is the real signal; the full +200bps arrives; Astral Chemie hits its stated ₹2,300–2,400cr at 14–15% by FY28; and the market keeps paying a Supreme-plus multiple after a quarter of the revenue has been handed to a separate listing.

3. Results

	FY26A	FY27E Bear	FY27E Base	FY27E Bull	FY28E Bear	FY28E Base	FY28E Bull	FY29E Bear	FY29E Base	FY29E Bull
Volume (MT '000)	270	281	297	308	298	333	354	316	373	407
Realisation (₹/kg)	173.3	168.1	176.7	180.2	168.1	178.5	183.8	169.8	180.3	187.5
Revenue (₹cr)	6,569	6,837	7,480	7,909	7,374	8,614	9,460	8,011	9,929	11,324
EBITDA margin	16.2%	14.9%	16.4%	17.7%	14.4%	17.2%	18.8%	14.7%	17.9%	19.7%
Depreciation (₹cr)	351	398	398	398	443	448	453	493	503	513
Net profit (₹cr)	535	474	630	761	478	792	1,017	527	981	1,317
Net margin	8.1%	6.9%	8.4%	9.6%	6.5%	9.2%	10.8%	6.6%	9.9%	11.6%
EPS (₹)	19.91	17.65	23.45	28.35	17.79	29.51	37.88	19.64	36.52	49.04
FY26 → 29 PAT CAGR								-0.5%	+22.4%	+35.0%

The structural point hiding in the Bear case

Look at what happens to the Bear column: revenue grows from ₹6,569cr to ₹8,011cr (+22%), and net profit goes from ₹534.7cr to ₹527cr (−1.4%).

That is not a quirk of the model. It is the arithmetic of the memo's central finding, played forward. Two mechanisms do it, and both are already visible in the reported FY22–FY26 record:

1. **Chemicals grows faster than plumbing and earns roughly a third of its margin** (7.9% vs 19.5%). Every point of revenue mix shifting to chemicals costs the group about **0.12pp of blended EBITDA margin**. Growth in the fast-growing half dilutes group profitability.
2. **Depreciation compounds on capex that has not yet produced its returns**. D&A rises from ₹351cr to ₹493cr over three years in the Bear case — ₹142cr, or 27% of FY26's entire net profit — before any operating deterioration.

This is exactly what happened between FY22 and FY26: **revenue +49.5%, net profit +9.1%**. The Bear case is not a stress test of something that has never occurred. **It is the last four years, extended.**

4. Reverse valuation — what ₹40,107cr requires

Exit P/E	Net profit required	× FY26 (₹535cr)	vs sell-side FY28E ₹836–950cr
25x	₹1,604cr	3.00x	+69% above the top
30x	₹1,337cr	2.50x	+41% above the top
35x	₹1,146cr	2.14x	+21% above the top
40x	₹1,003cr	1.88x	+6% above the top
45x	₹891cr	1.67x	inside the range
50x	₹802cr	1.50x	–4% vs the bottom
55x	₹729cr	1.36x	–13% vs the bottom

Read against this model's own output:

Scenario	FY28E net profit	Exit P/E needed to justify ₹1,493.50 today
Bear	₹478cr	83.9x
Base	₹792cr	50.6x
Bull	₹1,017cr	39.4x

Only the Bull case is defensible at a sector-normal multiple. The Base case requires the stock to trade in FY28 at a higher multiple than it does today, after the demerger has removed the growth-story half of the business from the listed entity. That is the whole valuation problem stated in one line.

Implied value per share

FY28E PAT (₹cr)	30x	35x	40x	45x	50x
500	559	652	745	838	931
600	670	782	894	1,006	1,117
700	782	912	1,043	1,173	1,304
792 (Base)	885	1,032	1,180	1,327	1,475
900	1,006	1,173	1,341	1,508	1,676
1,017 (Bull)	1,137	1,326	1,516	1,705	1,895

Spot: ₹1,493.50. Only the shaded-in-words top-right corner — Bull earnings and a 45–50x exit — clears it.

5. What the model does not capture, and where it is most likely wrong

Against the model (i.e. reasons the Bull case may be too conservative):

- **The captive CPVC resin plant is genuinely unusual.** No pipe company anywhere has backward integrated into CPVC resin. If the claimed ~200bps and ₹120–130cr of working capital release both land, and if it also removes a supply dependency, the plumbing margin assumption in the Bull case may be too low rather than too high.
- **Anti-dumping duties are not modelled at all.** If duties of \$22–284/tonne land on PVC suspension resin, FY27 and FY28 carry inventory gains that none of these scenarios contain.
- **The demerger may release value the consolidated model cannot show.** If Astral Chemie is re-rated as a standalone specialty chemicals and paints platform on revenue multiples rather than earnings, the sum of the parts can exceed anything a consolidated P/E produces.

For the model (i.e. reasons even the Base case may be optimistic):

- **The Base case still assumes the plumbing margin holds at 19.5–20.5%, above the company's own 16–18% FY27 guidance.** That is a deliberate choice to avoid stacking conservatism, but it is a choice.
- **Astral Chemie's funding is not modelled.** A newly listed company targeting ₹4,500–5,000cr of revenue off ~₹150cr of EBITDA will very likely raise equity. That dilution sits inside the 1:1 entitlement you receive.
- **Minority interests are ignored.** Nexelon (20% outside) and DSS (40% outside) are small today and will not stay small if either works.
- **Realisation is modelled as smooth.** It is not. PVC moved ~64% year-on-year into March 2026 and then fell. A single bad resin quarter can move group EBITDA by more than a year of volume growth.

The honest summary of this exercise: the operating assumptions barely matter compared with the exit multiple, and nobody — including this model — has any edge in forecasting the exit multiple of an Indian building-materials compounder that has already de-rated from 121x to 75x. **Which is the argument for answering Q1, Q2 and Q3 of the memo with disclosure rather than answering them with a spreadsheet.**